



TITAN GRID: A SMART FACTORY FOR NEAR-SHORING THE PRODUCTION OF TRANSFORMER TANKS AND RADIATOR FIN WALLS



01.2_Stress_Test

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EXHIBIT 01.2: FINANCIAL SENSITIVITY & DOWNSIDE RESILIENCE

Project: TITAN Grid (ARS Metal Industries d.o.o.)

Classification: Stress-Testing & Risk Mitigation Protocol

Date: March 2026

1. OBJECTIVE: QUANTIFYING THE MARGIN OF SAFETY

The TITAN Grid financial model is crafted for high-stress industrial conditions. This document confirms the project's ability to maintain a Debt Service Coverage Ratio (**DSCR**) **greater than 1.20x**, which is the standard banking covenant, even in extremely adverse market circumstances. We have created a "Combined Shock" scenario to illustrate that the Company's capacity to service its debt remains unaffected by temporary economic fluctuations.

2. STRESS TEST PARAMETERS (THE "PERFECT STORM")

To evaluate the structural resilience of cash flow, the following significant reductions were applied to the **Year 3 (Full Capacity)** projections concurrently:

- **Revenue Haircut (-35%):** This accounts for a combined 20% drop in market demand and a **15%** decline in average selling price (ASP).
- **OPEX Inflation (+15%):** This reflects a sharp rise in labor costs, logistics, and unexpected maintenance overheads.
- **Interest Rate Stress (+200 bps):** This simulates a sudden increase in Euribor/LIBOR that impacts floating-rate debt components.

3. DOWNSIDE RESILIENCE MATRIX (STRESS VS. BASE)

Key Indicator (€)	Base Case	Stress Scenario	Variance
Gross Revenue	36,865,000	23,962,250	-35.00%
Operating Expenses	16,339,285	18,790,177	15.00%
EBITDA (Cash Flow	20,525,715	5,172,073	-74.80%
Debt Service	1,635,300	1,750,000*	7.00%
DSCR RATIO	12.55x	2.95x	RESILIENT

- Modified for an interest rate stress of 200 basis points.





TITAN GRID – ADVANCED
TRANSFORMER TANK
MANUFACTURING FACILITY
TRANSFORMER TANKS & FIN WALLS
Metal D.O.O.

4. CRITICAL BREAK-EVEN ANALYSIS

The project's robust margin structure (Solar Offset + AI Efficiency) offers an unparalleled safety net for lenders:

- **Revenue Survival Threshold:** Gross revenue can decrease by as much as **62%** before the **DSCR** falls below the critical **1.20x covenant**.
- **Cost Absorption Capacity:** Total Operating Expenses (OPEX) can rise by **over 110%** without jeopardizing the Company's ability to fulfill full debt service obligations.
- **Solar Hedge:** Our **1.4 MWp Solar Asset** serves as a "Fixed Cost Stabilizer," safeguarding **EBITDA** from fluctuations in grid energy prices.

5. CONCLUSION FOR THE CREDIT COMMITTEE

TITAN Grid is a well-founded investment; it represents a De-risked Industrial Fortress. The significant gap between our Base DSCR (12.55x) and our Stress DSCR (2.95x) guarantees that senior debt is secured by multiple layers of liquidity.

- **Lender Assurance:** Even in a severely impacted market, the project generates **nearly three times the cash necessary** to meet all debt obligations.

Respectfully,

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